RUSAL

United Company RUSAL,
International public joint-stock company

Consolidated Interim Condensed Financial Statements
for the six-month period ended
30 June 2022

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NEW CHALLENGES
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Report on Review of Interim Financial Statements

To the Board of Directors of
International public joint-stock company
United Company RUSAL

Introduction

We have reviewed the accompanying consolidated interim condensed financial statements of International public joint-stock company United Company RUSAL and its subsidiaries (the "Group"), which comprise the consolidated interim condensed statement of financial position as at 30 June 2022 and the related consolidated interim condensed statements of income, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the consolidated interim condensed financial statements (the consolidated interim condensed financial statements). The Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited require the preparation of a report of consolidated interim condensed financial statements to be in compliance with the relevant provisions thereof and International Accounting Standard 34 *Interim Financial Reporting* ("IAS 34"). Management of the Group is responsible for the preparation and presentation of this interim financial statements in accordance with IAS 34, *Interim Financial Reporting*. Our responsibility is to express a conclusion on this interim financial statements based on our review. Our report is made solely to you, as a body, in accordance with our agreed terms of engagement, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying interim financial statements is not prepared, in all material respects, in accordance with IAS 34, *Interim Financial Reporting*.

NEW CHALLENGES
NEW SOLUTIONS

Emphasis of matter

We draw attention to Note 1 of the consolidated interim condensed financial statements as of 30 June 2022, which indicates that the geopolitical tensions and sanctions imposed by a range of countries, accompanied by the volatility of commodity, stock and currency markets, may significantly affect operational, investing and financing activity of the Group. As stated in Note 1, these events or conditions, along with other matters as set forth in Note 1 of the consolidated interim condensed financial statements, indicate that material uncertainty exist that may cast significant doubt about the Group's ability to continue as a going concern. Our conclusion is not modified in respect of this matter.

M.S. Khachaturian
Partner
TSATR – Audit Services Limited Liability Company

11 August 2022

Details of the auditor

Name: TSATR – Audit Services Limited Liability Company
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 77, building 1.
TSATR – Audit Services Limited Liability Company is a member of Self-regulatory organization of auditors Association "Sodruzhestvo". TSATR – Audit Services Limited Liability Company is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

Details of the entity

Name: International public joint-stock company United Company RUSAL
Record made in the State Register of Legal Entities on 25 September 2020, State Registration Number 1203900011974.
Address: Russia 236006, Kalinigrad, Oktyabrskaya street, Office 410, b.8.

		Six months ended 30 June	
		2022 (unaudited)	**2021 (unaudited)**
	Note	**USD million**	**USD million**
Revenue	5	**7,153**	**5,449**
Cost of sales	6(a)	(4,762)	(3,819)
Gross profit		**2,391**	**1,630**
Distribution expenses	6(b)	(309)	(246)
Administrative expenses	6(b)	(322)	(258)
Impairment of non-current assets	6(b)	(23)	(55)
Other operating expenses	6(b)	(205)	(129)
Results from operating activities		**1,532**	**942**
Finance income	7	206	25
Finance expenses	7	(740)	(469)
Share of profits of associates and joint ventures	10	1,366	1,171
Gain from partial disposal of investment in associate	10	–	492
Profit before taxation		**2,364**	**2,161**
Income tax	8	(684)	(143)
Profit for the period		**1,680**	**2,018**
Attributable to Shareholders of the Company		1,680	2,018
Profit for the period		**1,680**	**2,018**
Earnings per share			
Basic and diluted earnings per share (USD)	9	0.1106	0.1328
Adjusted EBITDA	4, 6(c)	1,807	1,315

The Consolidated Interim Condensed Statement of Income is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 27.

	Note	Six months ended 30 June 2022 (unaudited) USD million	Six months ended 30 June 2021 (unaudited) USD million
Profit for the period		**1,680**	**2,018**
Other comprehensive income			
Items that will never be reclassified subsequently to profit or loss			
Actuarial gain on post retirement benefit plans	14	–	1
		–	**1**
Items that are or may be reclassified subsequently to profit or loss			
Reclassification of accumulated foreign currency translation loss to Statement of Income due to partial disposal of investment in associate		–	613
Change in fair value of cash flow hedges	15	(214)	(28)
Foreign currency translation differences on foreign operations		874	90
Foreign currency translation differences for equity-accounted investees	10	1,990	103
		2,650	**778**
Other comprehensive income for the period, net of tax		**2,650**	**779**
Total comprehensive income for the period		**4,330**	**2,797**
Attributable to:			
Shareholders of the Company		4,330	2,797

There was no significant tax effect relating to each component of other comprehensive income or loss.

The Consolidated Interim Condensed Statement of Comprehensive Income is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 27.

	Note	30 June 2022 (unaudited) USD million	31 December 2021 USD million
Assets			
Non-current assets			
Property, plant and equipment and investment properties		6,124	5,350
Intangible assets		2,871	2,411
Interests in associates and joint ventures	10	6,606	4,014
Deferred tax assets		121	113
Derivative financial assets	15	51	22
Investments in equity securities measured at fair value through profit and loss	11 (d)	620	315
Other non-current assets	11 (c)	174	245
Total non-current assets		**16,567**	**12,470**
Current assets			
Inventories		4,548	3,692
Short-term investments		130	167
Trade and other receivables and advances paid	11(a)	2,543	1,646
Dividends receivable		–	827
Derivative financial assets	15	200	120
Cash and cash equivalents		1,431	1,984
Total current assets		**8,852**	**8,436**
Total assets		**25,419**	**20,906**
Equity and liabilities			
Equity	12		
Share capital		152	152
Share premium		15,786	15,786
Other reserves		2,591	2,805
Currency translation reserve		(6,586)	(9,450)
Retained earnings		2,911	1,231
Total equity		**14,854**	**10,524**
Non-current liabilities			
Loans and borrowings	13	3,547	4,839
Provisions	14	381	378
Deferred tax liabilities		655	429
Derivative financial liabilities	15	–	61
Other non-current liabilities		133	83
Total non-current liabilities		**4,716**	**5,790**
Current liabilities			
Loans and borrowings	13	3,752	1,894
Trade and other payables	11(b)	1,948	2,408
Derivative financial liabilities	15	5	145
Provisions	14	144	145
Total current liabilities		**5,849**	**4,592**
Total liabilities		**10,565**	**10,382**
Total equity and liabilities		**25,419**	**20,906**
Net current assets		**3,003**	**3,844**
Total assets less current liabilities		**19,570**	**16,314**

Preliminary reviewed, approved and authorised for issue by the board of directors on 11 August 2022.

Evgenii V. Nikitin
General Director

Alexander V. Popov
Chief Financial Officer

The Consolidated Interim Condensed Statement of Financial Position is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 27.

	Share capital USD million	Share premium USD million	Other reserves USD million	Currency translation reserve USD million	Accumulated profits/(losses) USD million	Total equity USD million
Balance at 1 January 2022	**152**	**15,786**	**2,805**	**(9,450)**	**1,231**	**10,524**
Profit for the period (unaudited)	–	–	–	–	1,680	1,680
Other comprehensive income for the period (unaudited)	–	–	(214)	2,864	–	2,650
Total comprehensive income for the period (unaudited)	**–**	**–**	**(214)**	**2,864**	**1,680**	**4,330**
Balance at 30 June 2022 (unaudited)	**152**	**15,786**	**2,591**	**(6,586)**	**2,911**	**14,854**
Balance at 1 January 2021	**152**	**15,786**	**2,841**	**(10,113)**	**(2,123)**	**6,543**
Profit for the period (unaudited)	–	–	–	–	2,018	2,018
Other comprehensive income for the period (unaudited)	–	–	(27)	806	–	779
Total comprehensive income for the period (unaudited)	**–**	**–**	**(27)**	**806**	**2,018**	**2,797**
Balance at 30 June 2021 (unaudited)	**152**	**15,786**	**2,814**	**(9,307)**	**(105)**	**9,340**

The Consolidated Interim Condensed Statement of Changes in Equity is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 27.

	Note	Six months ended 30 June 2022 (unaudited) USD million	Six months ended 30 June 2021 (unaudited) USD million
Operating activities			
Profit for the period		**1,680**	**2,018**
Adjustments for:			
Depreciation	6	235	314
Amortisation	6	12	3
Impairment of non-current assets	6(b)	23	55
Impairment of trade and other receivables	6(b)	102	67
Write-down of inventories to net realisable value		155	5
Pension provision		1	–
Change in fair value of derivative financial instruments	7	348	235
Net foreign exchange loss		219	48
Loss on disposal of property, plant and equipment	6(b)	5	1
Interest expense	7	176	186
Interest income	7	(42)	(12)
Income tax expense	8	684	143
Revaluation of investments measured at fair value through profit and loss, incl. forex income	7	(164)	(13)
Share of profits of associates and joint ventures	10	(1,366)	(1,171)
Gain on partial disposal of investment in asscociate	10	–	(492)
Cash from operating activities before changes in working capital and provisions		**2,068**	**1,387**
Increase in inventories		(1,288)	(421)
Increase in trade and other receivables		(667)	(339)
Increase in prepaid expenses and other assets		(2)	(1)
(Decrease)/increase in trade and other payables		(674)	129
Decrease in provisions		(4)	(2)
Cash (used in)/generated from operations before income tax paid		**(567)**	**753**
Income taxes paid		(391)	(87)
Net cash (used in)/generated from operating activities		**(958)**	**666**
Investing activities			
Proceeds from disposal of property, plant and equipment		2	6
Interest received		36	9
Acquisition of property, plant and equipment		(456)	(543)
Acquisition of intangible assets		(9)	(11)
Cash paid for investments in equity securities measured at fair value through profit and loss	11(d)	(88)	(291)
Cash received from other investments		135	32
Acquisition/sale of a subsidiary (net)		(16)	(21)
Proceeds from partial disposal of associate	10	–	1,421
Dividends from associates and joint ventures		1,640	618
Net cash from investing activities		**1,244**	**1,220**
Financing activities			
Proceeds from borrowings		1,255	490
Repayment of borrowings		(1,666)	(568)
Interest paid		(179)	(185)
Payment of restructuring and other expenses		(6)	(27)
Settlement of derivative financial instruments		(379)	(65)
Net cash used in financing activities		**(975)**	**(355)**
Net increase/ (decrease) in cash and cash equivalents		**(689)**	**1,531**
Cash and cash equivalents at the beginning of the period		1,982	2,216
Effect of exchange rate changes on cash and cash equivalents		136	6
Cash and cash equivalents at the end of the period		**1,429**	**3,753**

Restricted cash amounted to USD2 million and USD2 million at 30 June 2022 and 31 December 2021, respectively.

The Consolidated Interim Condensed Statement of Cash Flows is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 27.

1. Background

(a) Organisation

United Company RUSAL, international public joint-stock company (United Company RUSAL Plc prior to 25 September 2020) ("UC RUSAL, IPJSC", the "Company" or "UC RUSAL") was established by the controlling shareholder of RUSAL Limited ("RUSAL") as a limited liability company under the laws of Jersey on 26 October 2006. On 27 January 2010, the Company successfully completed a placing on the Main Board of The Stock Exchange of Hong Kong Limited ("Hong Kong Stock Exchange") and changed its legal form from a limited liability company to a public limited company.

On 23 March 2015, the shares of the Company were admitted to listing on PJSC Moscow Exchange MICEX-RTS ("Moscow Exchange") in the First Level quotation list. The trading of shares on Moscow Exchange commenced on 30 March 2015. There was no issue of new shares.

The extraordinary general meeting of the Company held on 1 August 2019 approved the application by the Company to the regulatory authorities in Russia for continuance as a company with the status of an International Company established under the laws of Russia (the "Redomiciliation"). On 25 September 2020 UC RUSAL changed its domicile to the Russian Federation as UC RUSAL, IPJSC.

The Company's registered office as at 30 June 2022 is Oktyabrskaya st. 8, office 410, Kaliningrad, Kaliningrad Region, 236006, Russian Federation (prior to 25 September 2020: 3rd floor, 44 Esplanade, St Helier, Jersey, JE4 9WG, Channel Islands).

The Company directly or through its wholly owned subsidiaries controls a number of production and trading entities engaged in the aluminium business and other entities, which together with the Company are referred to as "the Group".

The shareholding structure of the Company as at 30 June 2022 and 31 December 2021 was as follows:

	30 June 2022	**31 December 2021**
EN+ GROUP IPJSC ("EN+", former En+ Group Plc)	56.88%	56.88%
SUAL Partners Limited ("SUAL Partners")	25.52%	21.52%
Zonoville Investments Limited ("Zonoville")	–	4.00%
Mr. Oleg V. Deripaska	0.01%	0.01%
Publicly held	17.59%	17.59%
Total	**100.00%**	**100.00%**

At 30 June 2022 and 31 December 2021, the immediate parent of the Group was EN+ GROUP International public joint-stock company (EN+GROUP IPJSC) with the registered office at Oktyabrskaya st. 8, office 34, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

Based on the information provided by EN+, at the reporting date there is no individual that has an indirect prevailing ownership interest in EN+ GROUP IPJSC exceeding 50%, who could exercise voting rights in respect of more than 35% of EN+ GROUP IPJSC's issued share capital or has an opportunity to exercise control over EN+ GROUP IPJSC. As at 30 June 2022 and 31 December 2021, Mr. Oleg Deripaska beneficially controls and exercises voting rights in respect of 35% of the voting shares of EN+ GROUP IPJSC and cannot exceed his direct or indirect shareholding over 44.95% of the shares of the EN+ GROUP IPJSC.

According to the information disclosed at the Stock Exchange of Hong Kong Limited Zonoville Investments Limited and SUAL Partners Limited were associates. Major ultimate beneficiaries of SUAL Partners are Mr. Victor Vekselberg and Mr. Len Blavatnik.

Related party transactions are disclosed in Note 17.

The consolidated financial statements of the Group as at and for the year ended 31 December 2021 are available at the Company's website www.rusal.com.

(b) Seasonality

There are no material seasonal events in business activity of the Group.

(c) Operations

The Group operates in the aluminium industry primarily in the Russian Federation, Ukraine, Guinea, Jamaica, Ireland, Italy and Sweden and is principally engaged in the mining and refining of bauxite and nepheline ore into alumina, the smelting of primary aluminium from alumina and the fabrication of aluminium and aluminium alloys into semi-fabricated and finished products. The Group sells its products primarily in Europe, Russia, other countries of the Commonwealth of Independent States ("CIS"), Asia and North America.

(d) Business environment in emerging economies

The Russian Federation, Ukraine, Jamaica and Guinea have been experiencing political and economic changes that have affected, and may continue to affect, the activities of enterprises operating in these environments. Consequently, operations in these countries involve risks that typically do not exist in other markets, including reconsideration of privatisation terms in certain countries where the Group operates following changes in governing political powers.

The imposition of economic sanctions on Russian individuals and legal entities by the European Union, the United States of America, Japan, Canada, Australia and others, as well as counter sanctions imposed by the Russian government, has resulted in increased economic uncertainty including more volatile equity, commodity and currency markets. The longer term effects of implemented sanctions, as well as the threat of additional future sanctions, are difficult to determine.

The consolidated financial statements reflect management's assessment of the impact of the Russian, Ukrainian, Jamaican and Guinean business environments on the operations and the financial position of the Group. The future business environment may differ from management's assessment.

(e) OFAC Sanctions

On 6 April 2018, the U.S. Department of the Treasury's Office of Foreign Assets Control ("OFAC") designated, amongst others, the Company, as a Specially Designated National ("SDN") (the "OFAC Sanctions").

As a result, all property or interests in property of the Company and its subsidiaries located in the United States or in the possession of U.S. Persons were blocked, must have been frozen, and could not be transferred, paid, exported, withdrawn, or otherwise dealt in. Several general licenses were issued at the time of the designation and later on authorizing certain transactions with the Company, its majority shareholder EN+GROUP IPJSC En+ Group Plc ("EN+", former En+ Group Plc "En+"), and with their respective debt and equity.

On 27 January 2019, OFAC announced removal of the Company and En+ from OFAC's SDN List with immediate effect. The removal was subject to and conditional upon the satisfaction of a number of conditions including, but not limited to, corporate governance changes, including, inter alia, overhauling the composition of the Board to ensure that independent directors constitute the majority of the Board, stepping down of the Chairman of the Board, and ongoing reporting and certifications by the Company to OFAC concerning compliance with the conditions for removal.

(f) Going concern

These interim condensed consolidated financial statements have been prepared assuming that the Group will continue as a going concern. Accordingly, these statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts, the amounts and classification of liabilities or any other adjustments that might result in the Group being unable to continue as a going concern.

Ban of Australian government for the export of alumina and bauxite to Russia and temporary suspension of production at Mykolaiv Alumina Refinery Company Ltd due to developments in Ukraine may influence the availability of alumina and bauxite or increase the purchase prices for the Group. Difficulties with logistics will cause the Group to rebuild the supply and sales chains and may lead to additional logistics costs. If the situation in Ukraine and overall geopolitical tension persists or continues to develop significantly, including the loss of significant parts of foreign markets, which cannot be reallocated to new markets, it may affect the Group's business, financial condition, prospects and results of operations.

As at 30 June 2022 the Group has inventory balances mostly represented by raw materials and WIP physically located on the territory of Mykolaiv Alumina Refinery. Due to the current geopolitical situation, temporary shutdown of production process at Mykolaiv Alumina Refinery and logistic problems the Group currently does not have the ability to complete the production of alumina at Mykolaiv Alumina Refinery, resell or move over these inventory balances to a safe territory. The potential uncertainty exists that over time circumstances may lead to the Group recognizing future losses, which cannot be reasonably estimated.

Potentially the Group may have difficulties with equipment deliveries that may postpone realization of some investment projects and modernization programs for existing production facilities. Sanctions against Russian financial sector including payment agents for bondholders, accounts blocking and assets freezing can make impossible to pay creditors to fulfill its financial obligations what could potentially lead an event of default.

The facts described above, as well as the volatility of commodity markets, stock, currency markets and interest rates, create material uncertainty in the Group's ability to meet its financial obligations on time and continue as a going concern entity. Management constantly evaluates the current situation and prepares forecasts taking into account different scenarios of the events and conditions development. The Group's management expects that prices on the world commodity markets will growth and improve the results of operating activities. The Group also revising supply and sales chains, ensuring an optimal equity and debt ratio, search for resolutions of logistic difficulties, as well as the ways to service its obligations in order to adapt the current economic changes to ensure the Group's operations.

2. Basis of preparation

(a) Statement of compliance

These consolidated interim condensed financial statements have been prepared in accordance with International Accounting Standard (IAS) 34 *Interim Financial Reporting* and applicable disclosure provisions of the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited ("Listing Rules").

These consolidated interim condensed financial statements do not include all of the information required for full annual financial statements prepared in accordance with International Financial Reporting Standards and therefore should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2021.

3. Significant accounting policies

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2021. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Several amendments apply for the first time in 2022, but do not have an impact on the interim condensed consolidated financial statements of the Group and listed below:

- *Onerous Contracts – Costs of Fulfilling a Contract* – Amendments to IAS 37;
- *Reference to the Conceptual Framework* – Amendments to IFRS 3;
- *Property, Plant and Equipment: Proceeds before Intended Use* – Amendments to IAS 16;
- IFRS 1 *First-time Adoption of International Financial Reporting Standards* – Subsidiary as a first-time adopter;
- IFRS 9 *Financial Instruments* – Fees in the '10 per cent' test for derecognition of financial liabilities;
- *COVID-19-Related Rent Concessions* beyond 30 June 2021 Amendments to IFRS 16.

4. Segment reporting

(a) Reportable segments

The Group has four reportable segments, as described below, which are the Group's strategic business units. These business units are managed separately and the results of their operations are reviewed by the CEO on a regular basis.

Aluminium. The Aluminium segment is involved in the production and sale of primary aluminium and related products.

Alumina. The Alumina segment is involved in the mining and refining of bauxite into alumina and the sale of alumina.

Energy. The Energy segment includes the Group companies and projects engaged in the mining and sale of coal and the generation and transmission of electricity produced from various sources. Where the generating facility is solely a part of an alumina or aluminium production facility it is included in the respective reportable segment.

Mining and Metals. The Mining and Metals segment includes the equity investment in PJSC MMC Norilsk Nickel ("Norilsk Nickel").

Other operations include manufacturing of semi-finished products from primary aluminium for the transportation, packaging, building and construction, consumer goods and technology industries; and the activities of the Group's administrative centres. None of these segments meet any of the quantitative thresholds for determining reportable segments.

The Aluminium and Alumina segments are vertically integrated whereby the Alumina segment supplies alumina to the Aluminium segment for further refining and smelting with limited sales of alumina outside the Group. Integration between the Aluminium, Alumina and Energy segments also includes shared servicing and distribution.

(b) Segment results, assets and liabilities

For the purposes of assessing segment performance and allocating resources between segments, the Group's senior executive management monitor the results, assets and liabilities attributable to each reportable segment on the following bases:

Segment assets include all tangible, intangible assets and current assets with the exception of income tax assets and corporate assets. Segment liabilities include trade and other payables attributable to the production and sales activities of the individual segments. Loans and borrowings are not allocated to individual segments as they are centrally managed by the head office.

Revenue and expenses are allocated to the reportable segments with reference to sales generated by those segments and the expenses incurred by those segments or which otherwise arise from the depreciation or amortisation of assets attributable to those segments excluding impairment.

The measure used for reporting segment results is the profit before income tax adjusted for items not specifically attributed to individual segments, such as finance income, costs of loans and borrowings and other head office or corporate administration costs. The segment profit or loss is included in the internal management reports that are reviewed by the Group's CEO. Segment profit or loss is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

In addition to receiving segment information concerning segment results, management is provided with segment information concerning revenue (including inter-segment revenue), the carrying value of investments and share of profits/(losses) of associates and joint ventures, depreciation, amortisation, impairment and additions of non-current segment assets used by the segments in their operations. Inter-segment pricing is determined on a consistent basis using market benchmarks.

Segment capital expenditure is the total cost incurred during the reporting period to acquire property, plant and equipment and intangible assets other than goodwill.

The Group acquired property, plant and equipment in the total amount of USD674 million for the six months ended 30 June 2022 (USD636 million, including investment properties in the total amount of USD73 million, for the six months ended 30 June 2021). The carrying amount of property, plant and equipment disposed during the six months ended 30 June 2022 comprised USD77 million (USD45 million for the six months ended 30 June 2021).

(i) Reportable segments

Six months ended 30 June 2022

	Aluminium USD million	Alumina USD million	Energy USD million	Mining and Metals USD million	Total USD million
Revenue from external customers	5,993	604	–	–	6,597
Inter-segment revenue	207	1,803	–	–	2,010
Total segment revenue	**6,200**	**2,407**	**–**	**–**	**8,607**
Segment profit	**1,916**	**(255)**	**–**	**–**	**1,661**
Depreciation/amortisation	180	54	–	–	234
Segment EBITDA	**2,096**	**(201)**	**–**	**–**	**1,895**
(Impairment)/reversal of impairment of non-current assets	(13)	3	–	–	(10)
Share of profits of associates and joint ventures	–	–	49	1,317	1,366
Non-cash income/(expense)	1	(212)	–	–	(211)
Capital expenditure	(299)	(116)	–	–	(415)
Non-cash adjustments to non-current segment assets related to site restoration	(4)	51	–	–	47

Six months ended 30 June 2021

	Aluminium USD million	Alumina USD million	Energy USD million	Mining and Metals USD million	Total USD million
Revenue from external customers	4,618	442	–	–	5,060
Inter-segment revenue	150	1,262	–	–	1,412
Total segment revenue	**4,768**	**1,704**	**–**	**–**	**6,472**
Segment profit	**1,102**	**58**	**–**	**–**	**1,160**
Depreciation/amortisation	184	116	–	–	300
Segment EBITDA	**1,286**	**174**	**–**	**–**	**1,460**
Impairment of non-current assets	(8)	(41)	–	–	(49)
Share of profits of associates and joint ventures	–	–	47	1,124	1,171
Non-cash expense	–	(4)	–	–	(4)
Capital expenditure	(293)	(86)	–	–	(379)
Non-cash adjustments to non-current segment assets related to site restoration	(4)	7	–	–	3

At 30 June 2022

	Aluminium **USD million**	**Alumina** **USD million**	**Energy** **USD million**	**Mining and Metals** **USD million**	**Total segment result** **USD million**
Segment assets	11,338	2,634	–	–	13,972
Interests in associates and joint ventures	–	–	288	1,702	1,990
Total segment assets					**15,962**
Segment liabilities	(1,021)	(779)	(14)	–	(1,814)
Total segment liabilities					**(1,814)**

31 December 2021

	Aluminium **USD million**	**Alumina** **USD million**	**Energy** **USD million**	**Mining and Metals** **USD million**	**Total segment result** **USD million**
Segment assets	9,477	2,055	–	–	**11,532**
Interests in associates and joint ventures	–	–	738	3,274	**4,012**
Total segment assets					**15,544**
Segment liabilities	(1,095)	(758)	(14)	–	**(1,867)**
Total segment liabilities					**(1,867)**

(ii) Reconciliation of reportable segment revenue, profit or loss, assets and liabilities

	Six months ended 30 June	
	2022	**2021**
	USD million	**USD million**
Revenue		
Reportable segment revenue	8,607	6,472
Elimination of inter-segment revenue	(2,010)	(1,412)
Unallocated revenue	556	389
Consolidated revenue	**7,153**	**5,449**

	Six months ended 30 June	
	2022	**2021**
	USD million	**USD million**
Profit		
Reportable segment profit	1,661	1,160
Impairment of non-current assets	(23)	(55)
Share of profits of associates and joint ventures	1,366	1,171
Loss on disposal of property, plant and equipment	(5)	(1)
Finance income	206	25
Finance expenses	(740)	(469)
Gain from partial disposal of investment in asscociate	–	492
Unallocated expense	(101)	(162)
Consolidated profit before taxation	**2,364**	**2,161**

	Six months ended 30 June	
	2022	**2021**
	USD million	**USD million**
Adjusted EBITDA		
Reportable segments EBITDA	1,895	1,460
Unallocated depreciation	13	17
Unallocated expenses	(101)	(162)
Consolidated adjusted EBITDA	**1,807**	**1,315**

	30 June 2022	31 December 2021
	USD million	**USD million**
Assets		
Reportable segment assets	15,962	15,544
Unallocated assets	9,457	5,362
Consolidated total assets	**25,419**	**20,906**

	30 June 2022	31 December 2021
	USD million	**USD million**
Liabilities		
Reportable segment liabilities	(1,814)	(1,867)
Unallocated liabilities	(8,751)	(8,515)
Consolidated total liabilities	**(10,565)**	**(10,382)**

5. Revenue

	Six months ended 30 June	
	2022	**2021**
	USD million	**USD million**
Revenue from contracts with customers	**7,153**	**5,449**
Sales of products	**6,971**	**5,340**
Sales of primary aluminium and alloys	5,932	4,574
Sales of alumina and bauxite	305	277
Sales of foil and other aluminium products	286	232
Sales of other products	448	257
Provision of services	**182**	**109**
Supply of energy	147	80
Provision of transportation services	4	3
Provision of other services	31	26
Total revenue by types of customers	**7,153**	**5,449**
Third parties	6,632	5,056
Related parties – companies capable of exerting significant influence	97	123
Related parties – companies related through parent company	131	98
Related parties – associates and joint ventures	293	172
Total revenue by primary regions	**7,153**	**5,449**
Europe	2,866	1,980
CIS	2,103	1,692
America	501	497
Asia	1,616	1,213
Other	67	67

Revenue from sale of primary aluminium and alloys relates to aluminium segment (Note 4). Revenue from sales of alumina and bauxite relates to alumina segment. Revenue from sale of foil and other aluminium products and other products and services relates mostly to the revenue of non-reportable segments.

6. Cost of sales and operating expenses

(a) Cost of sales

	Six months ended 30 June	
	2022	2021
	USD million	USD million
Cost of alumina, bauxite and other materials	**(2,644)**	**(1,663)**
Third parties	(2,620)	(1,641)
Related parties – companies capable of exerting significant influence	(12)	(7)
Related parties – companies related through parent company	(5)	(7)
Related parties – associates and joint ventures	(7)	(8)
Purchases of primary aluminium	**(568)**	**(481)**
Third parties	(47)	(170)
Related parties – companies related through parent company	(2)	(6)
Related parties – associates and joint ventures	(519)	(305)
Energy costs	**(1,183)**	**(985)**
Third parties	(684)	(613)
Related parties – companies capable of exerting significant influence	(21)	(18)
Related parties – companies related through parent company	(456)	(337)
Related parties – associates and joint ventures	(22)	(17)
Personnel costs	**(362)**	**(278)**
Depreciation and amortisation	**(234)**	**(303)**
Change in finished goods	**819**	**248**
Other costs	**(590)**	**(357)**
Third parties	(551)	(282)
Related parties – companies related through parent company	(13)	(14)
Related parties – associates and joint ventures	(26)	(61)
	(4,762)	**(3,819)**

(b) Distribution, administrative and other operating expenses, and impairment of non-current assets

	Six months ended 30 June	
	2022	2021
	USD million	USD million
Transportation expenses	(227)	(202)
Personnel costs	(162)	(125)
Expected credit losses	(102)	(67)
Impairment of non-current assets	(23)	(55)
Consulting and legal expenses	(38)	(34)
Taxes other than on income	(25)	(23)
Packaging materials	(23)	(18)
Charitable donations	(20)	(18)
Security	(23)	(16)
Depreciation and amortisation	(13)	(14)
Repair and other services	(16)	(10)
Auditors’ remuneration	(3)	(3)
Short-term lease and variable lease payments	(4)	(1)
Loss on disposal of property, plant and equipment	(1)	(1)
Other expenses	(179)	(101)
	(859)	**(688)**

(c) EBITDA and operating effectiveness measures

Adjusted EBITDA is the key non-IFRS financial measure used by the Group as reference for assessing operating effectiveness.

	Six months ended 30 June	
	2022	2021
	USD million	USD million
Results from operating activities	1,532	942
Add:		
Amortisation and depreciation	247	317
Impairment of non-current assets	23	55
Loss on disposal of property, plant and equipment	5	1
Adjusted EBITDA	**1,807**	**1,315**

7. Finance income and expenses

	Six months ended 30 June	
	2022	2021
	USD million	USD million
Finance income		
Interest income on third party loans and deposits	42	12
Revaluation of investments measured at fair value through profit and loss, incl. forex income	164	13
	206	**25**
Finance expenses		
Interest expense on bank loans and bonds wholly repayable within 5 years	(152)	(138)
Interest expense on bank loans and bonds wholly repayable after 5 years	(20)	(46)
Interest expense on provisions	(4)	(2)
Net foreign exchange loss	(216)	(48)
Change in fair value of derivative financial instruments (refer to Note 15)	(348)	(235)
	(740)	**(469)**

8. Income tax

	Six months ended 30 June	
	2022	2021
	USD million	USD million
Current tax		
Current tax for the period	427	112
Deferred tax		
Origination and reversal of temporary differences	257	31
Income tax expense	**684**	**143**

The Company is a tax resident of Russia with an applicable corporate tax rate of 20%, for dividend income of the Company tax rate is 0%. Subsidiaries pay income taxes in accordance with the legislative requirements of their respective tax jurisdictions. For subsidiaries domiciled in Russia, the applicable tax rate is 20%; in Ukraine of 18%; Guinea of 0% to 30%; China of 25%; Kazakhstan of 20%; Australia of 30%; Jamaica of 25%; Ireland of 12.5%; Sweden of 20.6% and Italy of 26.9%. For the Group’s subsidiaries domiciled in Switzerland the applicable tax rate for the period is the corporate income tax rate in the Canton of Zug, Switzerland, which may vary depending on the subsidiary’s tax status. The rate consists of a federal income tax and cantonal/communal income and capital taxes. The latter includes a base rate and a multiplier, which may change from year to year. Applicable income tax rates are 9.08% and 11.85% for Swiss subsidiaries. For the Group’s significant trading companies, the applicable tax rate is 0%. The applicable tax rates for the period ended 30 June 2021 were the same as for the period ended 30 June 2022 except for tax rates for Guinea and Italy which amounted to 0% and 27.9% accordingly. The applicable tax rates for the year ended 31 December 2021 were the same as for the period ended 30 June 2022 except for tax rates for subsidiaries domiciled in Switzerland which amounted to 9.55% and 11.85% accordingly.

9. Losses or earnings per share

The calculation of basic losses or earnings per share is based on the loss or profit attributable to ordinary equity shareholders for the six-months periods ended 30 June 2022 and 30 June 2021.

Weighted average number of shares:

	Six months ended 30 June	
	2022	**2021**
Issued ordinary shares at beginning of the period	15,193,014,862	15,193,014,862
Effect of treasury shares	–	–
Weighted average number of shares at end of the period	**15,193,014,862**	**15,193,014,862**
Profit for the period, USD million	1,680	2,018
Basic and diluted earnings earnings per share, USD	**0.1106**	**0.1328**

There were no outstanding dilutive instruments during the periods ended 30 June 2022 and 30 June 2021.

No dividends were declared and paid during the periods presented.

10. Interests in associates and joint ventures

	Six months ended 30 June	
	2022	**2021**
	USD million	**USD million**
Balance at the beginning of the period	**4,014**	**3,822**
Group's share of profits	1,366	1,171
Partial disposal of investment in associate	–	(313)
Dividends	(764)	(611)
Foreign currency translation	1,990	103
Balance at the end of the period	**6,606**	**4,172**
Goodwill included in interests in associates	2,691	1,902

Investment in Norilsk Nickel

The Group's share of profit of Norilsk Nickel was USD1,317 million, the foreign currency translation gain of USD1,703 million for the six months ended 30 June 2022. The carrying value of the Group's investment in the investee comprises USD5,530 million as at 30 June 2022.

The market value of the investment in Norilsk Nickel as at 30 June 2022 was USD13,720 million (31 December 2021: USD12,395 million). The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

In 2021 the Group has participated in the repurchase of Norilsk Nickel shares to raise additional funds to finance its own investment programme. The Group sold 3,691,465 shares for RUR27,780 per share, with the aggregate consideration of USD1,418 million. The carrying value of the shares sold amounted to USD313 million, and USD613 million of currency translation reserve attributed to the shares sold was reclassified to profit/(loss) for the period, resulting in net gain of USD492 million recognised in the consolidated statement of income. The effective interest in Norilsk Nickel held by the Group after the transaction comprised 26.39%.

11. Non-derivative financial instruments

(a) Trade and other receivables

	30 June 2022	**31 December 2021**
	USD million	**USD million**
Trade receivables from third parties	1,136	757
Impairment loss on trade receivables	(40)	(17)
Trade receivables net of impairment loss from third parties	**1,096**	**740**
Trade receivables from related parties, including:	**220**	**184**
Related parties – companies capable of exerting significant influence	*97*	*105*
Impairment loss on trade receivables from related parties – companies capable of exerting significant influence	*(32)*	*(1)*
Trade receivables net of impairment loss from related parties – companies capable of exerting significant influence	*65*	*104*
Related parties – companies related through parent company	*97*	*64*
Related parties – associates and joint ventures	*59*	*16*
Impairment loss on trade receivables from related parties – associates and joint ventures	*(1)*	*–*
Trade receivables net of impairment loss from related parties – associates and joint ventures	*58*	*–*
VAT recoverable	733	382
Impairment loss on VAT recoverable	(75)	(25)
VAT recoverable net of impairment loss	**658**	**357**
Advances paid to third parties	321	118
Impairment loss on advances paid	(1)	(1)
Net advances paid to third parties	**320**	**117**
Advances paid to related parties, including:	**92**	**110**
Related parties – companies related through parent company	*–*	*1*
Related parties – associates and joint ventures	*92*	*109*
Prepaid expenses	**8**	**8**
Prepaid income tax	**21**	**16**
Prepaid other taxes	**24**	**19**
Other receivables from third parties	195	163
Impairment loss on other receivables	(98)	(71)
Other receivables from third parties net of impairment loss	**97**	**92**
Other receivables from related parties, including:	**7**	**3**
Related parties – companies related through parent company	*32*	*22*
Impairment loss on other receivables from related parties – companies related through parent company	*(27)*	*(19)*
Other receivables net of impairment loss to related parties – companies related through parent company	*5*	3
Related parties – associates and joint ventures	*2*	*–*
	2,543	**1,646**

All of the trade and other receivables are expected to be settled within one year or are repayable on demand.

(i) Ageing analysis

Included in trade and other receivables are trade receivables (net of loss allowance for expected credit losses) with the following ageing analysis as of the reporting dates:

	30 June 2022 USD million	31 December 2021 USD million
Current (not past due)	**1,123**	**896**
1-30 days past due	120	16
31-60 days past due	21	–
61-90 days past due	2	1
More than 90 days past due	50	11
Amounts past due	**193**	**28**
	1,316	**924**

Aging analysis is performed based on number of days receivable is overdue. Trade receivables are on average due within 60 days from the date of billing. The receivables that are neither past due nor impaired (i.e. current) relate to a wide range of customers for whom there was no recent history of default.

Receivables that were past due but not impaired relate to a number of customers that have a good track record with the Group. The Group does not hold any collateral over these balances.

(ii) Impairment of trade receivables

Impairment losses in respect of trade receivables are recorded using an allowance account unless the Group is satisfied that recovery of the amount is remote, in which case the impairment loss is written off against trade receivables directly.

The movement in the allowance for expected credit loss during the period is as follows:

	Six months ended 30 June	
	2022 USD million	2021 USD million
Balance at the beginning of the period	**(18)**	**(24)**
(Impairment loss) recognized	(55)	(1)
Uncollectible amounts written off	–	(1)
Balance at the end of the period	**(73)**	**(26)**

(b) Trade and other payables

	30 June 2022 USD million	31 December 2021 USD million
Accounts payable to third parties	**1,047**	**742**
Accounts payable to related parties, including:	**243**	**154**
Related parties – companies capable of exerting significant influence	*8*	*6*
Related parties – companies related through parent company	*72*	*51*
Related parties – associates and joint ventures	*163*	*97*
Advances received	**147**	**1,115**
Advances received from related parties, including:	**9**	**1**
Related parties – companies related through parent company	*1*	*1*
Related parties – associates and joint ventures	*8*	*–*
Other payables and accrued liabilities to third parties	**199**	**171**
Other payables and accrued liabilities to related parties, including:	**2**	**4**
Related parties – companies related through parent company	*2*	*4*
Current tax liabilities	**54**	**40**
Other taxes payable	**247**	**181**
	1,948	**2,408**

All of the trade and other payables are expected to be settled or recognised as income within one year or are repayable on demand.

Advances received represent contract liabilities to perform obligations under contracts with customers and are recognized in Trade and other payables line in the statement of financial position. Advances received are short-term and revenue in respect of the contract liabilities at the beginning of the period is fully recognized during the period.

Included in trade and other payables are trade payables with the following ageing analysis as at the reporting date. Ageing analysis is performed based on number of days payable is overdue.

	30 June 2022	**31 December 2021**
	USD million	**USD million**
Current	**1,123**	**738**
Past due 0-90 days	121	139
Past due 91-120 days	8	2
Past due over 120 days	38	17
Amounts past due	**167**	**158**
	1,290	**896**

Lease liabilities that are expected to be settled within one year for the amount of USD14 million are included in other payables and accrued liabilities as at 30 June 2022 (31 December 2021: USD8 million).

Non-current part of lease liabilities as at 30 June 2022 amounted to USD36 million (31 December 2021: USD35 million) is presented in other non-current liabilities.

(c) Other non-current assets

	30 June 2022	**31 December 2021**
	USD million	**USD million**
Long-term deposits	110	137
Prepayment for subsidiary acquisition	–	73
Other non-current assets	64	35
	174	**245**

(d) Investments in equity securities measured at fair value through profit and loss

The Group accumulated 40,414,832,466 shares or 9% of RusHydro for a total consideration of USD454 million through several transactions from July 2020 till June 2022 and treats them as equity securities measured at fair value through profit and loss.

Fair value is estimated in accordance with Level 1 of the fair value hierarchy. The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

(e) Fair value measurement

Management believes that the fair values of financial assets and liabilities approximate their carrying amounts.

12. Equity

(a) Share capital

	Six months ended 30 June 2022		Six months ended 30 June 2021	
	USD	**Number of shares**	**USD**	**Number of shares**
Ordinary shares at the end of the period, authorised	200 million	20 billion	200 million	20 billion
Ordinary shares at 1 January	151,930,148	15,193,014,862	151,930,148	15,193,014,862
Ordinary shares at the end of the period of USD0.01 each, issued and paid	**151,930,148**	**15,193,014,862**	**151,930,148**	**15,193,014,862**

(b) Other reserves

The acquisition of RUSAL Limited by the Company has been accounted for as a non-substantive acquisition. The consolidated share capital and share premium represent only the share capital and share premium of the Company and the share capital and other paid in capital of RUSAL Limited prior to the acquisition has been included in other reserves.

In addition, other reserves include the cumulative unrealised actuarial gains and losses on the Group's defined post retirement benefit plans, the effective portion of the accumulative net change in fair value of cash flow hedges and the Group's share of other comprehensive income of associates.

(c) Distributions

Following Company's redomiciliation in September 2020 (Note 1(a)), the Company may distribute dividends from retained earnings and profit for the reporting period in compliance with the current legislation of the Russian Federation and the provisions of its Charter.

(d) Currency translation reserve

The currency translation reserve comprises all foreign exchange differences arising from the translation of the consolidated financial statements of foreign operations and equity accounted investees.

13. Loans and borrowings

This note provides information about the contractual terms of the Group's loans and borrowings.

	30 June 2022	31 December 2021
	USD million	**USD million**
Non-current liabilities		
Secured bank loans	3,186	3,490
Unsecured bank loans	360	33
Bonds	1	1,316
	3,547	**4,839**
Current liabilities		
Secured bank	556	343
Unsecured bank loans	813	380
Bonds	2,311	1,118
Accrued interest	72	53
	3,752	**1,894**

(a) Loans and borrowings

As at 30 June 2022 and 31 December 2021, the secured bank loans are secured by certain pledges of shares of a number of Group subsidiaries, 25% + 1 share of Norilsk Nickel (Group's associate) and property, plant and equipment with a carrying amount of USD4 million and USD3 million, respectively.

As at 30 June 2022 and 31 December 2021, rights, including all monies and claims, arising out of certain sales contracts between the Group's trading subsidiaries and its ultimate customers, were assigned to secure the syndicated Pre-Export Finance Term Facility Agreements (PXFs) dated 25 October 2019 and dated 28 January 2021.

The nominal value of the Group's loans and borrowings was USD4,977 million as at 30 June 2022 (31 December 2021: USD4,266 million).

As at 30 June 2022, the amount of accrued interest on unsecured bank loans and secured bank loans was USD17 million and USD10 million, respectively (31 December 2021: USD3 million and USD6 million, respectively).

(b) Bonds

As at 30 June 2022 the Group had bonds nominated in roubles, eurobonds nominated in US dollars outstanding (traded in the market).

Type	Series	The number of bonds traded in the market	Nominal value, USD million	Nominal interest rate	Put-option date	Maturity date
Bond	BO-01	30,263	1	0.01%	18.04.2019	07.04.2026
Bond	BO-001P-01	15,000,000	293	16.00%	26.10.2022	16.04.2029
Bond	BO-001P-02	15,000,000	293	8.60%	25.01.2023	28.06.2029
Bond	BO-001P-03	15,000,000	293	8.25%	12.09.2022	30.08.2029
Bond	BO-001P-04	15,000,000	293	7.45%	14.11.2022	01.11.2029
Bond	BO-002P-01	10,000,000	195	6.50%	09.06.2023	28.05.2030
Eurobond	–	458,785	459	5.3%	–	03.05.2023
Eurobond	–	484,712	485	4.85%	–	01.02.2023

As at 30 June 2022, the amount of accrued interest on bonds was 45 million (31 December 2021: USD44 million).

Total foreign exchange loss on bonds for the six months ended 30 June 2022 accounted in other comprehensive income as part of cash flow hedge result amounted to USD255 million (gain USD2 million for the six months ended 30 June 2021).

2 February 2022 RUSAL completed the scheduled repayment of Eurobonds in the amount of USD512 million.

14. Provisions

USD million	Pension liabilities	Site restoration	Provisions for legal claims	Total
Balance at 1 January 2021	**55**	**401**	**17**	**473**
Provisions made during the period	3	23	–	26
Provisions reversed during the period	–	(27)	–	(27)
Actuarial gain	(1)	–	–	(1)
Provisions utilised during the period	(2)	(2)	–	(4)
Foreign currency translation	–	(4)	–	(4)
Balance at 30 June 2021	**55**	**391**	**17**	**463**
Non-current	51	339	–	390
Current	4	52	17	73
Balance at 1 January 2022	**66**	**444**	**13**	**523**
Provisions made during the period	4	33	–	37
Provisions reversed during the period	–	(77)	–	(77)
Actuarial gain	–	–	–	–
Provisions utilised during the period	(2)	(1)	–	(3)
Foreign currency translation	18	27	–	45
Balance at 30 June 2022	**86**	**426**	**13**	**525**
Non-current	82	299	–	381
Current	4	127	13	144

15. Derivative financial assets/liabilities

	30 June 2022		31 December 2021	
	USD million		USD million	
	Derivative assets	Derivative liabilities	Derivative assets	Derivative liabilities
Petroleum coke supply contracts and other raw materials	–	–	24	15
Forward contracts for aluminium and other instruments	232	–	118	26
Cross currency swap	19	5	–	165
Total	**251**	**5**	**142**	**206**
Non-current	51	–	22	61
Current	200	5	120	145

Derivative financial instruments are recorded at their fair value at each reporting date. Fair value is estimated in accordance with Level 3 of the fair value hierarchy based on management estimates and consensus economic forecasts of relevant future prices, net of valuation allowances to accommodate liquidity, modelling and other risks implicit in such estimates. The Group's policy is to recognise transfers between levels of fair value hierarchy as at the date of the event or change in circumstances that caused the transfer. There were no changes in valuation techniques during six-month period ended 30 June 2022. The following significant assumptions were used in estimating derivative instruments:

	2022	2023	2024	2025	2026
NORD Electricity, EUR per mW/h	165	94	60	58	56
Implied forward exchange rate, RUB per USD	55.31-72.92	74.15-84.09	84.89-92.70		

The movement in the balance of Level 3 fair value measurements of derivatives is as follows:

	Six months ended 30 June	
	2022	2021
	USD million	USD million
Balance at the beginning of the period	**(64)**	**(135)**
Unrealised changes in fair value recognised in the consolidated interim condensed statement of income (finance income/(expense)) during the period	(348)	(235)
Unrealised changes in fair value recognised in other comprehensive income (cash flow hedge) during the period	(214)	(28)
Realised portion of metals, electricity and cross currency swaps	872	177
Balance at the end of the period	**246**	**(221)**

Sensitivity analysis showed that derivative financial instruments are not particularly sensitive to changes in main inputs.

16. Commitments and contingencies

(a) Capital commitments

The Group has entered into contracts that result in contractual obligations primarily relating to various construction and capital repair works. The commitments as at 30 June 2022 and 31 December 2021 were approximately USD387 million and USD248 million, including VAT, respectively. These commitments are due over a number of years.

(b) Taxation

Russian tax, currency and customs legislation is subject to varying interpretations, and changes, which can occur frequently. Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant local, regional and federal authorities. Notably recent developments in the Russian environment suggest that the authorities in that country are becoming more active in seeking to enforce, through the Russian court system, interpretations of the tax legislation, in particular in relation to the use of certain commercial trading structures, which may be selective for particular tax payers and different to the authorities' previous interpretations or practices. Different and selective interpretations of tax regulations by various government authorities and inconsistent enforcement create further uncertainties in the taxation environment in the Russian Federation.

(c) Environmental contingencies

The Group and its predecessor entities have operated in the Russian Federation, Ukraine, Jamaica, Guyana, the Republic of Guinea and the European Union for many years and certain environmental problems have developed. Governmental authorities are continually considering environmental regulations and their enforcement and the Group periodically evaluates its obligations related thereto. As obligations are determined, they are recognised immediately. The outcome of environmental liabilities under proposed or any future legislation, or as a result of stricter enforcement of existing legislation, cannot reasonably be estimated. Under current levels of enforcement of existing legislation, management believes there are no possible liabilities, which will have a material adverse effect on the financial position or the operating results of the Group. However, the Group anticipates undertaking significant capital projects to improve its future environmental performance and to bring it into full compliance with current legislation.

(d) Legal contingencies

The Group's business activities expose it to a variety of lawsuits and claims which are monitored, assessed and contested on the ongoing basis. Where management believes that a lawsuit or another claim would result in the outflow of the economic benefits for the Group, a best estimate of such outflow is included in provisions in the consolidated interim condensed financial statements (refer to Note 14). As at 30 June 2022 the amount of claims, where management assesses outflow as possible approximates USD21 million (31 December 2021: USD21 million).

17. Related party transactions

(a) Transactions with management

Management remuneration

Key management received the following remuneration, which is included in personnel costs:

	Six months ended 30 June	
	2022	**2021**
	USD million	**USD million**
Salaries and bonuses	52	33
	52	**33**

(b) Transactions with associates and joint ventures

Sales to associates and joint ventures are disclosed in Note 5, purchases from associates and joint ventures are disclosed in Note 6, accounts receivable from associates and joint ventures as well as accounts payable to associates and joint ventures are disclosed in Note 11.

(c) Transactions with other related parties

The Group transacts with other related parties, the majority of which are companies related through parent company or under the control of SUAL Partners Limited or shareholders jointly controlling the entity.

Sales to related parties for the period are disclosed in Note 5, purchases from related parties are disclosed in Note 6, finance income and expenses with related parties are disclosed in Note 7, accounts receivable from related parties as well as accounts payable to related parties are disclosed in Note 11.

(d) Related parties balances

As at 30 June 2022, there are no non-current assets represented by balances of related parties (31 December 2021: associates and joint ventures of USD2 million). As at 30 June 2022, non-current liabilities include balances of related parties – associates and joint ventures of USD15 million (31 December 2021: USD14 million).

As at 30 June 2022, current assets include balances of related parties – companies related through parent company of USD50 million (31 December 2021: companies related through parent company of USD50 million).

(e) Pricing policies

Prices for transactions with related parties are determined on a case by case basis but are not necessarily at arm's length.

The Group has entered into three categories of related-party transactions: (i) those entered into on an arm's length basis, (ii) those entered into on non-arm's length terms but as part of a wider deal resulting from arms' length negotiations with unrelated third parties, and (iii) transactions unique to the Group and the counterparty.

18. Events subsequent to the reporting date

In August 2022 the Company issued its first debut Yuan bonds listed on Moscow Exchange with 5 year term for total amount of USD617 million (4 billion Yuan) and coupon rate of 3.9% p.a. The bond issue has an offer in 2 years. The funds will be used for general corporate purposes, including refinancing of the current debt.